

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH SEPTEMBER 2020

I STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2020	Bank				Group Consolidated			
	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)
A. ASSETS								
1 Cash balances (both local and foreign)	412,096	558,941	657,564	582,475	499,196	412,096	558,941	499,196
2 Balances due from Central Bank of Kenya	1,571,555	2,287,778	2,203,914	2,128,345	897,708	1,571,555	2,287,778	897,708
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment Securities:	-	-	-	-	-	-	-	-
a) Held to Maturity:	104,681	427,125	565,986	764,561	837,786	104,681	427,125	837,786
a. Kenya Government securities	104,681	427,125	565,986	764,561	837,786	104,681	427,125	837,786
b. Other securities	-	-	-	-	-	-	-	-
b) Available for sale:	3,494,689	4,175,744	4,467,417	4,057,543	5,124,133	3,494,689	4,175,744	5,124,133
a. Kenya Government securities	3,494,689	4,175,744	4,467,417	4,057,543	5,124,133	3,494,689	4,175,744	5,124,133
b. Other securities	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	2,153,021	870,481	837,016	1,098,838	586,744	2,153,021	870,481	586,744
7 Deposits and balances due from banking institutions abroad	523,901	69,046	147,779	252,468	305,260	523,901	69,046	305,260
8 Tax recoverable	188,498	62,768	56,136	179,103	213,926	312,684	151,220	320,688
9 Loans and advances to customers (net)	40,548,513	39,934,816	39,574,392	39,339,787	38,715,033	39,200,576	38,779,738	37,579,674
10 Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-	-	-
13 Investment in joint ventures	236,627	242,379	242,379	242,379	231,236	1,862,002	1,731,214	1,674,903
14 Investment properties	542,004	538,064	540,472	567,700	563,666	2,077,901	1,256,768	1,271,070
15 Property and equipment	1,232,419	1,842,363	1,805,955	1,746,602	1,694,443	1,240,779	1,853,530	1,704,764
16 Prepaid operating lease rentals	37,667	-	-	-	42,801	-	-	-
17 Intangible assets	913,767	862,437	828,345	784,558	752,654	913,829	863,505	753,568
18 Deferred tax asset	810,405	1,012,883	1,026,089	1,019,929	996,046	941,862	1,216,715	1,199,996
19 Retirement benefit asset	-	-	-	-	-	-	-	-
20 Other assets	1,586,772	1,647,064	2,015,893	2,122,441	2,137,303	2,558,682	2,213,113	2,351,547
21 TOTAL ASSETS	54,356,615	54,531,890	54,969,337	54,886,729	53,555,134	57,411,060	56,454,918	55,107,037
B. LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customer deposits	34,693,341	37,476,110	38,123,482	38,852,415	38,116,234	34,608,493	37,399,987	38,022,683
24 Deposits and balances due to local banking institutions	72,695	528,250	673,920	405,677	243,804	72,695	528,250	243,804
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	9,910,494	5,803,723	5,807,116	5,327,724	5,245,274	9,930,703	5,803,723	5,245,274
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29 Tax payable	-	-	-	-	-	-	-	-
30 Dividends payable	-	-	-	-	-	2,167	3,100	5,880
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-
33 Other liabilities	431,899	1,571,403	1,227,186	1,399,546	1,307,942	2,355,720	2,477,638	2,036,301
34 TOTAL LIABILITIES	45,108,429	45,379,486	45,831,704	45,985,362	44,913,255	46,969,778	46,212,698	45,553,942
C. SHAREHOLDERS' FUNDS								
35 Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	3,513,662	4,342,562	4,343,512	4,343,512
37 Revaluation reserves	180,440	180,440	180,440	180,440	180,440	881,904	881,903	881,904
38 Retained earnings/(Accumulated losses)	(2,020,605)	(2,308,522)	(2,706,488)	(3,183,977)	(3,679,099)	700,050	307,903	(1,241,275)
39 Statutory loan loss reserves	2,445,310	2,668,069	3,082,076	3,313,624	3,477,607	2,445,310	2,668,069	3,477,607
40 Other Reserves	78,629	48,005	17,193	26,868	98,519	97,636	67,012	117,526
41 Proposed dividends	-	-	-	-	-	-	-	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	9,248,186	9,152,404	9,137,633	8,901,367	8,641,879	10,441,282	10,242,220	9,553,095
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	54,356,615	54,531,890	54,969,337	54,886,729	53,555,134	57,411,060	56,454,918	55,107,037
II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2020	Bank				Group Consolidated			
	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)
1 INTEREST INCOME								
1.1 Loans and advances	3,795,909	4,678,689	1,118,546	2,080,427	3,195,105	3,795,909	4,678,689	3,195,105
1.2 Government securities	312,840	419,374	113,650	247,256	391,614	312,840	419,374	391,614
1.3 Deposits and placements with banking institutions	15,972	18,517	12,644	25,399	34,414	15,972	18,517	34,414
1.4 Other Interest Income	-	-	-	-	-	-	-	-
1.5 Total interest income	4,124,721	5,116,580	1,244,840	2,353,082	3,621,133	4,124,721	5,116,580	3,621,133
2 INTEREST EXPENSES								
2.1 Customer deposits	1,323,693	1,787,622	488,013	967,481	1,407,331	1,323,693	1,787,622	1,407,331
2.2 Deposits and placement from banking institutions	61,417	99,171	28,145	66,379	179,607	61,417	99,171	179,607
2.3 Other interest expenses	774,554	976,819	111,555	259,615	304,553	1,022,228	1,262,076	413,078
2.4 Total interest expenses	2,159,664	2,863,612	627,713	1,293,475	1,891,491	2,407,338	3,148,869	2,000,016
3 NET INTEREST INCOME/(LOSS)	1,965,057	2,252,968	617,127	1,059,607	1,729,642	1,717,383	1,967,711	1,621,117
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	46,607	183,640	24,442	38,285	52,127	46,607	183,640	52,127
4.2 Other fees and commissions	235,914	163,631	51,769	60,967	107,776	274,875	226,856	145,644
4.3 Foreign exchange trading income/(Loss)	28,575	50,151	18,807	38,401	55,261	28,575	50,151	55,261
4.4 Dividend Income	-	-	-	-	-	-	-	-
4.5 Other income	104,170	119,164	23,961	61,500	67,807	719,820	942,555	151,132
4.6 Total Non-interest income	415,266	516,586	118,979	199,153	282,971	1,069,877	1,403,202	404,164
5 TOTAL OPERATING INCOME	2,380,323	2,769,554	736,106	1,258,760	2,012,613	2,787,260	3,370,913	2,025,281
6 OPERATING EXPENSES								
6.1 Loan loss provision	587,488	351,194	137,642	267,927	450,765	587,488	350,441	441,189
6.2 Staff costs	652,440	924,350	219,158	475,965	734,969	771,891	1,078,236	839,521
6.3 Directors' emoluments	9,258	7,806	2,883	4,791	6,929	9,830	12,174	9,178
6.4 Rental charges	84,536	135,680	31,920	77,990	105,088	84,536	135,680	105,088
6.5 Depreciation charge on property and equipment	117,806	159,659	42,735	85,012	126,517	129,059	174,869	128,560
6.6 Amortisation charges	155,981	211,689	54,334	109,846	165,522	156,046	211,918	165,636
6.7 Other operating expenses	793,185	1,002,661	224,518	467,130	972,719	1,129,828	1,547,525	1,007,827
6.8 Total Other Operating Expenses	2,400,694	2,793,039	713,190	1,488,661	2,562,509	2,868,678	3,510,843	2,696,999
7 Profit/(loss) before tax and exceptional items	(20,371)	(23,485)	22,916	(229,901)	(549,896)	(81,418)	(139,930)	(671,718)
8 Exceptional items	-	5,752	-	-	(11,143)	-	2,128	(56,309)
9 Profit/(loss) after exceptional items	(20,371)	(17,733)	22,916	(229,901)	(561,039)	(81,418)	(137,802)	(728,027)
10 Current tax	-	(125,897)	(6,875)	-	-	(3,199)	(186,325)	(2,185)
11 Deferred tax	-	149,978	-	-	-	-	214,019	-
12 Profit/(loss) after tax and exceptional items	(20,371)	6,348	16,041	(229,901)	(561,039)	(84,617)	(110,108)	(730,212)
13 Other Comprehensive Income								
Gains/(Losses) from translating the financial statements of foreign	-	-	-	-	-	-	-	-
13.1 operations	-	-	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	147,997	104,247	(44,017)	(28,183)	67,352	147,997	104,247	67,352
13.3 Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(44,399)	(31,274)	13,205	7,046	(16,838)	(44,399)	(31,274)	(16,838)
14 Other Comprehensive Income for the year net of tax	103,598	72,973	(30,812)	(21,137)	50,514	103,598	72,973	50,514
15 Total comprehensive income for the year	83,227	79,321	(14,771)	(251,038)	(510,525)	(18,980)	(37,135)	(679,698)
Earnings per share	(5.43)	1.27	12.83	(91.96)	(149.61)	(0.29)	(0.29)	(2.53)
Dividend per share	-	-	-	-	-	-	-	-

III DISCLOSURES AS AT 30 SEPTEMBER 2020

1 Non-Performing Loans and Advances

	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)	30.09.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.09.2020 UnAudited (Ksh'000)
a) Gross non-performing loans and advances	12,648,754	12,316,003	12,221,552	11,909,011	11,221,945	12,648,754	12,316,003	11,221,945
b) Less: Interest in Suspense	2,951,208	3,231,455	3,433,379	3,501,430	3,375,851	2,951,208	3,231,455	3,375,851
c) Total non-Performing loans and advances (a-b)	9,697,546	9,084,548	8,788,173	8,407,581	7,846,095	9,697,546	9,084,548	7,846,095
d) Less: Loan loss provisions	2,669,913	2,655,962	2,942,626	2,960,816	3,156,396	2,669,913	2,655,962	3,156,396
e) Net non-performing loans and advances(c-d)	7,027,633	6,428,586	5,845,547	5,446,765	4,689,698	7,027,633	6,428,586	4,689,69